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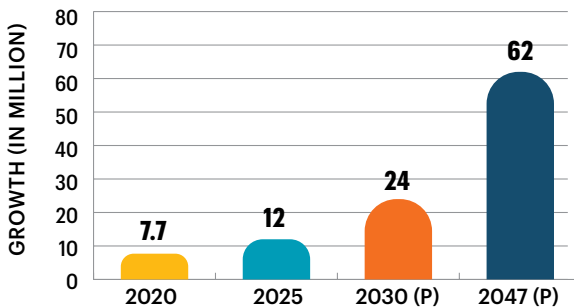
A variable labour cost model works for both part-time and full-time workers. A fixed workforce doesn't make sense when demand is unpredictable



Most gig workers value platform continuity over idealised benefits. Disruptions threaten not just earnings but access itself

THE GIG RISE

• Gig workforce growth over the years



NOTE P IS PROJECTED **SOURCE** NITI AAYOG, OBSERVER RESEARCH FOUNDATION

fixed labour costs into variable expenses,” says Dhiraj Relli, Managing Director and CEO of HDFC Securities.

According to Aakash Agrawal, Head of Digital and New Age Business at Anand Rathi Investment Banking, platforms cannot work on fixed payments. He says fixed payment does not consider spike or reduction in orders, nor does it incentivise better delivery personnel. It doesn't allow the network to scale up as fast and efficiently as it does.

“In a marketplace, all stakeholders—logistics, customers, suppliers (restaurants, dark stores)—should be well-incentivised, only then does the platform works,” says Agrawal.

While the platform businesses are growing rapidly,

the scale has not translated into higher earnings for those powering these platforms, says Shaik Salaud-din, founder-president of the Telangana Gig and Platform Workers Union (TGPWU) and co-founder and national general secretary of the Indian Federation of App-Based Transport Workers (IFAT). “In 2020–21, delivery partners were paid around ₹80 per order. That fell to ₹60, then ₹40, and today hovers close to ₹20,” he says. “If platform businesses are growing this fast, why are rider payouts moving in the opposite direction?”

The tension between scale and worker earnings, along with demand for improved social security measures, came into sharp focus during a nationwide flash strike on December 31, which, according to Salaud-din, saw participation from over 200,000 gig workers.

Among the core demands was a fixed monthly income in the range of ₹24,000 to ₹40,000, alongside greater clarity on work conditions and algorithm-led incentives. Partners of Urban Company went on a nationwide strike on February 3.

THE BUSINESS MODEL

The arithmetic on why platforms continue to rely on the gig model is critical. “There’s a fundamental difference between a variable model and a fixed one. A variable model works for both part-time and full-time workers, whereas a fixed workforce simply doesn’t make sense when demand is unpredictable. You can’t keep everyone on full-time shifts when half the time they would be idle,” says Relli of HDFC Securities, pointing to the fluctuating nature of demand that can spike businesses